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Student activity

Think: Think on the following causes. Complete the following table (Two transactions are done for you):

Reasons for the differences between cash book balance and balance as per bank statement	Effect on bank statement	How to find out balance as per bank statement from cash book balance?
(1) Cheques are issued by the business, but not yet presented for payment	Bank statement balance > cash book balance	Add
(2) Cheque deposited into bank but not yet credited by the bank	Bank statement balance < cash book	Less
(3) Bank charges not yet informed by the bank to the customer		
(4) Rent paid by bank as per standing instruction		
(5) Dividend directly collected by the bank on behalf of the customer		
(6) Debtor directly paid the amount into bank		
(7) Cheque dishonoured		
(8) Wrong credit in the bank statement		
(9) Wrong debit in the bank statement		

Given the causes of disagreement, the balance of one record (cash book or bank statement) can be either more or less compared to the other record (cash book or bank statement).

For example, if the reconciliation is started with debit balance as per cash book and there is a cheque deposited in the bank, but not cleared, the balance as per bank statement will be less. In this case, the amount of cheque should be subtracted from the cash book balance to arrive at the balance as per bank statement. Similarly, after making all the adjustments the balance as per the other book is obtained. It is important to note that the debit balance as per cash book means the credit balance as per bank statement and vice-versa.

To illustrate it further, take an example of bank charges. The balance as per bank statement will be lesser as compared to cash book. This is because, the bank balance has already been reduced with the bank charges, but, it has not yet been recorded in the cash book. In this case, if balance as per cash book is taken to prepare the reconciliation statement, the amount of bank charges has to be subtracted, because the balance as per bank statement is lesser than cash book balance.